

ABB

32.5%
ROE

36.5%
ROCE

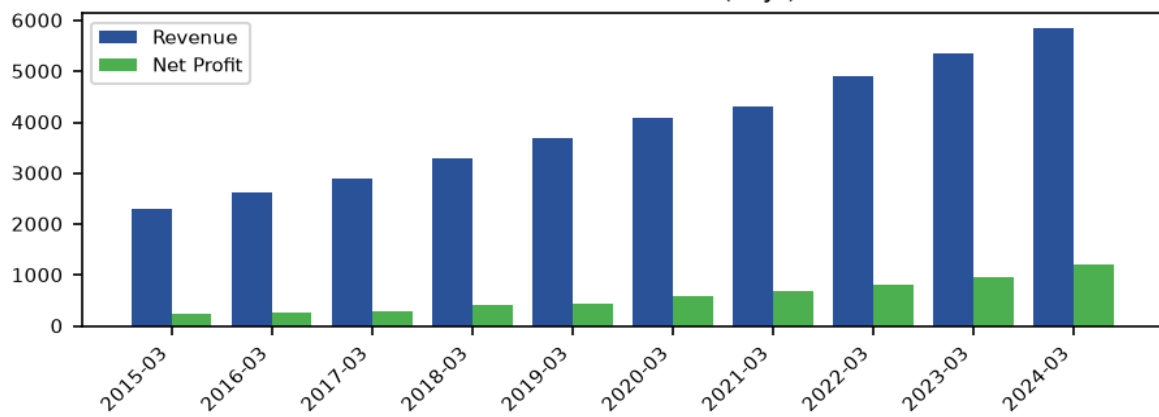
0.0x
D/E

9.7%
Revenue CAGR (5yr)

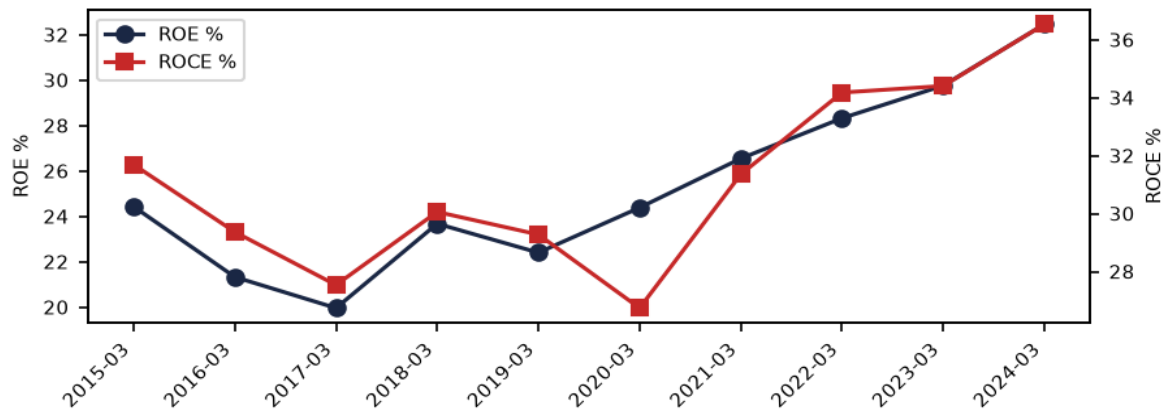
24.8%
OPM

20.5%
Net Profit Margin

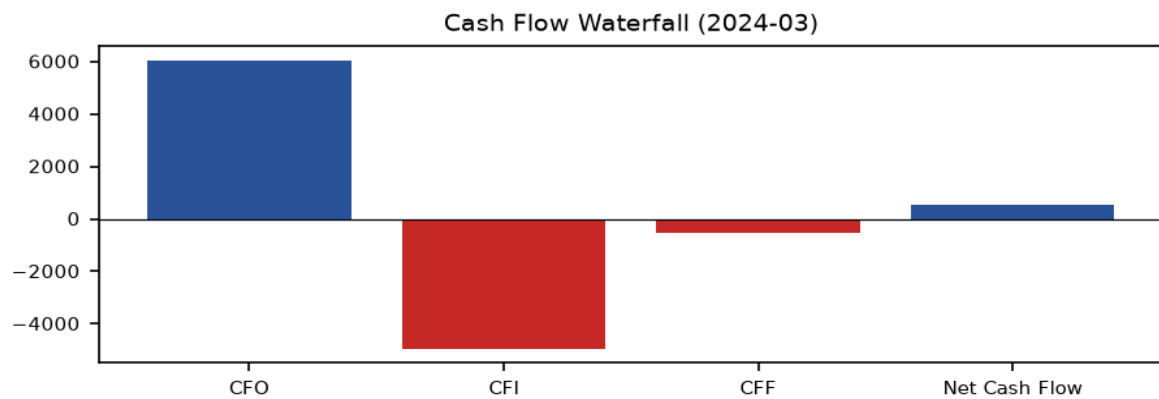
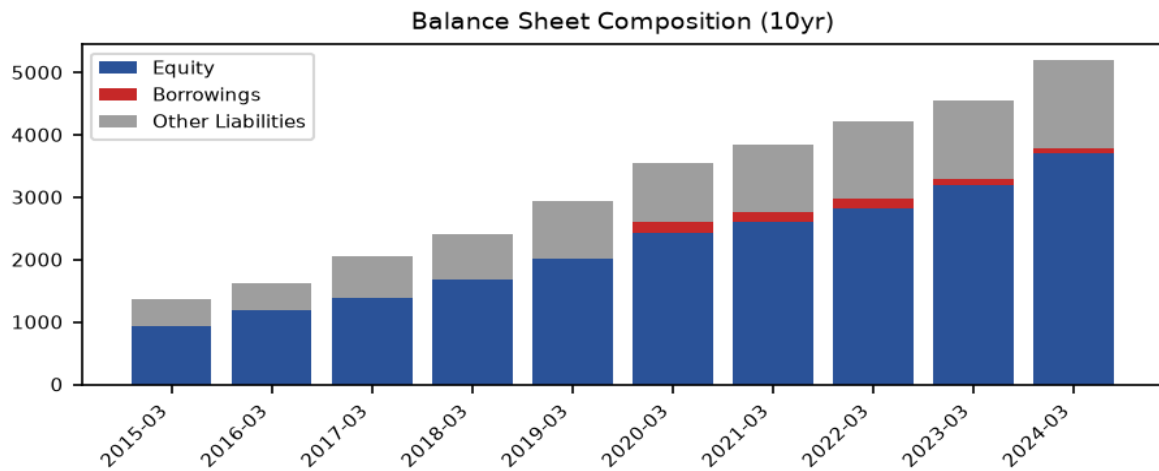
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



ABB



Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Stock trades at a premium to sector median P/E, reflecting high market expectations already priced in

Capital Allocation Pattern: Shareholder Returns